

1-C)

Option C is correct because the slope of the production possibility curve (PPC) represents the opportunity cost of producing one good in terms of the other.

On this diagram, manufactured goods are on one axis and agricultural goods on the other, so the slope measures how many units of agricultural goods must be forgone to produce an additional unit of manufactured goods. This is a direct application of the principle of scarcity: limited resources mean producing more of one good requires sacrificing some of another.

Option A is incorrect because consumer preferences are not depicted through the PPC; the PPC only shows maximum possible combinations that can be produced given current resources and technology. **Option B** is incorrect because the diagram does not show an outward shift ; without that, we cannot determine economic growth. **Option D** is incorrect because there is no information about time preference or future versus present consumption choices.

2-D)

Option D is correct because after specialisation, workers initially gain efficiency from repetition and skill enhancement, but over time, **repetitive tasks lead to boredom, fatigue and reduced motivation**. In division of labour theory, this demotivation lowers marginal productivity despite unchanged capital or technology. Hence, key D becomes correct.

Option A is incorrect because higher pay is not a requirement for sustained productivity in the event of specialization. **Option B** is incorrect because capital increases may help, but the fall in output here stems from specialisation. **Option C** is incorrect because workers don't lose skills because of specialization. It is just that they gain more skills in one domain, or get better at one thing.

3-A)

Option A is correct because expanding a winery involves all four factors of production: land (vineyards), labour (workers in cultivation, processing, and distribution), capital (equipment, bottling machinery) and enterprise (organising resources, taking risks). Raising funds through share sales is part of the entrepreneur's role in mobilising resources. We need decision-making and risk-taking for expansion to occur.

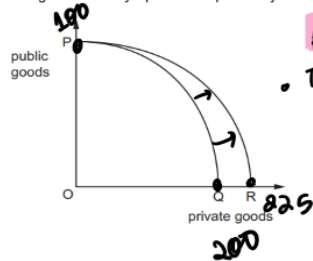
4-D)

Option D is correct because "income inequality is decreasing" is a positive statement because it is objective and testable with statistical evidence. Positive economics deals with such fact-based assertions.

Option A is incorrect because “should” indicates a value judgement, making it normative. **Option B** is incorrect because “fairness” is subjective and value-based. **Option C** is incorrect because “desirable” implies normative opinion, not an empirical statement.

5-D)

5 The diagram shows the change in a country's production possibility curve from PQ to PR.



previously:

- The opportunity cost of producing 100 public goods was 200 private goods

- Now after the shift, the opp cost of producing 100 public goods rose to 225 private goods

(This represents a rise in the opportunity cost of producing public goods)

This explains why **key D is correct**, as the opportunity cost of producing public goods rises because we lose more in terms of the output of private goods. This also means that **Option C** is incorrect — the opportunity cost of producing private goods is not the one increasing here.

Furthermore, **Options A and B are incorrect**, as the PPC does not show monetary prices for public or private goods.

6-D)

Option D is correct because higher wages increase production costs, shifting the supply curve left from S1 to S2. At each price, less is supplied from before.

Option A is incorrect as more firms in the industry shift the market supply curve to the right.

Option B is incorrect as more workers mean there will be a surplus of labor in the industry, which will put a downward pressure on wages. This will reduce costs of production, eventually shifting the supply curve to the right. **Option C** is incorrect as higher productivity is associated with lower costs of production, which increases supply.

7-C) For a labour-intensive firm, supply is most price elastic when it can quickly hire more workers in response to a price increase. **Unskilled labour** can be recruited and trained with minimal delay, and **high unemployment** ensures a large pool of such workers is readily available. This combination allows the firm to expand output rapidly, increasing quantity supplied significantly in the short run when prices rise. Hence, key C is correct.

Option A) Although high unemployment means workers are available, the reliance on skilled labour slows the adjustment process. Skilled workers require specific training or qualifications, so production cannot be expanded as quickly as with unskilled labour. This reduces price elasticity of supply compared to option C.

Option B) Skilled labour combined with low unemployment is the most restrictive combination. Workers are scarce and require specialised skills, making it both difficult and slow to increase production when prices rise. This results in a very inelastic supply response.

Option D) While unskilled labour can be hired quickly, low unemployment means there are few available workers to recruit. This shortage limits the firm's capacity to expand output, making the supply less elastic than in option C, where both speed and availability are maximised.

8-B)

The correct answer is Option B. An inferior good is one for which demand rises as consumer incomes fall since there is a negative relationship between income and demand for inferior goods.

A rise in income tax reduces disposable income, prompting consumers to shift from more expensive normal goods toward cheaper inferior goods. This shifts the demand curve for the inferior good to the right.

Option A is incorrect because rising incomes decrease demand for inferior goods. Option C is incorrect because higher sales taxes increase the costs of production of making these goods, hence reducing the supply of inferior goods. Option D is incorrect because higher complement prices reduce demand for the main good.

9-A)

The correct answer is Option A. **A straight-line supply curve through the origin has unitary elasticity of supply at all points ($PES=1$)** because the percentage change in quantity supplied is always equal to the percentage change in price.

Option C) C also starts from the origin, but it is not a supply curve.

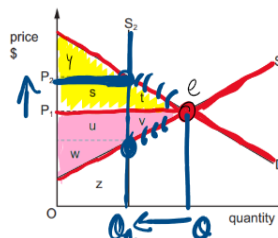
Option B) It shows a situation of perfectly inelastic supply (supply is fixed), where $PES=0$.

Option D) It shows a situation of perfectly elastic supply, where $PES = \text{infinite}$.

10-D)

In microeconomics, consumer surplus (CS) is the area below the demand curve and above the market price, while producer surplus (PS) is the area above the supply curve and below the market price.

10 The diagram shows a shift of the supply curve in a market from S_1 to S_2 .



How will the consumer surplus and producer surplus change?

	consumer surplus	producer surplus
A	decreases by s	increases by $s + u - t$
B	decreases by s	increases by $u + v - w$
C	decreases by $s + t$	increases by $s + t - v$
D	decreases by $s + t$	increases by $s + z - v$

Original C.S =

$s + t + u$

New C.S = u

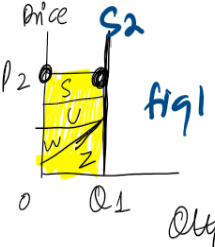
loss of C.S by $s + t$

original P.S $\Rightarrow$

$u + v + w$

New P.S (high)

$s + t + w + z$



* when the supply curve changes to S_2 , price also rises to P_2 .

* gain in P.S $\Rightarrow s + t + z$
* loss in P.S $\Rightarrow v$

gain > loss, so there is an overall gain

Change in P.S = increase by $s + z - v$

11-C)

->The correct answer is Option C. A fall in the price of substitute Y will make good Y more attractive to consumers, leading to a decrease in demand for good X.

->Additionally, a rise in the price of complement Z will contract QD of good Z, while also simultaneously reducing the demand for jointly demanded good i.e. good X.

->**This decrease in demand will lead to a surplus in the market, eventually causing a decrease in price of good X.**

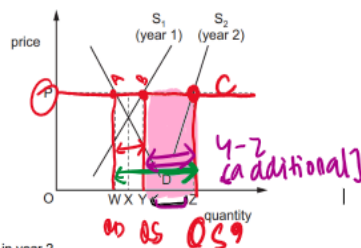
Option C) However, if some firms stop producing X, the reduction in supply would lead to shortages, thereby raising the price of good X. This can offset the decrease in price arising as a result of a fall in demand, leaving the equilibrium price unchanged.

Option A is incorrect because improved technology increases supply, lowering the price. Option B is incorrect because subsidies increase supply, also lowering the price. Option D is incorrect because a cut in production tax increases supply, again lowering the price.

12-D:

12 In the diagram, S_1 and S_2 are the supply curves for an agricultural product in years 1 and 2 respectively. D is the demand curve in years 1 and 2.

In year 1, the government purchased an amount necessary to ensure that the price was OP .



The price is held at OP in year 2.

How much more must the government buy in year 2 than it bought in year 1?

- A WZ B XY C XZ **D YZ**

year 1 → demand: D
year 1 → supply: S_1
surplus $W-4$ [$Q_S > Q_D$]
govt purchased the surplus of $W-4$

year 2 → demand: D
year 2 → supply: S_2
surplus $W-2$
govt purchased the surplus of $W-2$

To maintain price of OP
*The extra that the govt purchased in year 2 was $4-2$

13-B:

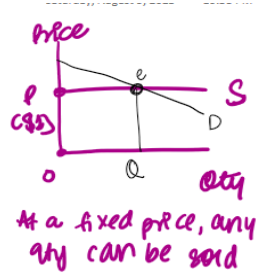
Wealth inequality refers to differences in the ownership of assets such as land and buildings, shares. An increase in property values directly raises the wealth of those who already own property. Since property ownership is usually concentrated among the wealthier segment of the population, this change widens wealth inequality far more than it affects income inequality. Hence, B is correct.

A) An increase in indirect taxation, such as VAT or sales tax, will prove to be regressive because it takes a higher proportion of income from the poor than from the rich. This tends to widen **income inequality**.

C) A reduction in the minimum wage directly affects the earnings of low-income workers, increasing **income inequality** as their pay falls relative to others. However, this does little to change the distribution of assets or long-term wealth.

D) A fall in interest rates reduces the return on savings, but this mainly affects financial income flows rather than the total stock of wealth. The impact on wealth inequality is limited because the change does not significantly alter ownership of major assets like property or shares, which are the main drivers of wealth gaps.

14-B:



* PES = perfectly elastic $\Rightarrow$ all tax burden is borne by consumers

* govt imposes tax of 10%, which raises price of consumers by 10% (PES = perfectly elastic)

* PED = 1.5 change in QD
% change in price

$$* 1.5 = \frac{\% \text{ change in QD}}{+10\%}$$

$$= -15\%$$

New QD $\Rightarrow$
85% of 1000
 $\hookrightarrow 850$

① Gov'ts tax revenue per product
 $\hookrightarrow 10\% \times \1
 $\hookrightarrow 0.1\$$

② New QD = 850

③ per unit tax $\times$ New QD

$$\Rightarrow 0.1 \times 850$$

$$\Rightarrow \text{Total tax} \Rightarrow \$85$$

1. **Tax per unit:** 10% of \$1.00 = \$0.10.
2. **Impact on price:** With perfectly elastic supply, the full tax is passed to consumers, so the price rises from \$1.00 to \$1.10 by 10%.
3. **Quantity change:** Price elasticity of demand (PED) = 1.5, so a 10% price rise causes a $1.5 \times 10\% = 15\%$ fall in quantity.
4. **New quantity:** 15% of 1000 units = 150 units; **1000 - 150 = 850 units after tax.**
5. **Tax revenue:** $\$0.10 \times 850 = \85 .

Perfectly elastic supply means consumers bear the whole tax; PED determines the size of the quantity drop, and revenue is simply tax per unit times new quantity sold.

15-B:

To calculate the real value of something when you have its nominal value and the **Consumer Price Index**, you'll need to use the following formula:

$$\text{Real Value} = (\text{Nominal Value} / \text{CPI}) \times 100$$

This formula essentially removes the effects of inflation from the nominal value, giving you the value in terms of the base year's prices.

Nominal Value = 25 000

CPI = 110

$$\begin{aligned}\text{Real Value} &= \left(\frac{25\,000}{110} \right) \times 100 \\ &= 227.27 \times 100 \\ &\approx 22\,727\end{aligned}$$

Interpretation: In base-year terms, 25 000 at a CPI of 110 has the purchasing power of about 22 727 in the base year.

16-A:

Option A is correct because unemployment that rises as incomes fall during a virus pandemic is best classified as cyclical unemployment. Cyclical unemployment is driven by downturns in aggregate demand: when the pandemic reduces consumption, investment and overall spending, firms experience falling revenues and cut labour, causing unemployment to rise. This is directly linked to the business cycle concept in macroeconomics where negative demand shocks reduce output and raise cyclical unemployment in the short run.

Option B is incorrect because frictional unemployment stems from normal job search and short-term mismatches, not an economy-wide income collapse. **Option C** is incorrect because seasonal unemployment is tied to predictable, recurring seasonal patterns (e.g., harvest labour), not a pandemic shock. **Option D** is incorrect because structural unemployment arises from mismatches between workers' skills and job requirements, whereas a pandemic-caused fall in incomes is demand-led and therefore cyclical.

17-C:

A lower exchange rate makes a country's exports cheaper for foreign buyers and imports more expensive for domestic consumers. As a result of this, there is a rise in export spending, and a fall in import expenditure. This tends to increase **net exports (X – M)**, one of the components of aggregate demand ($AD = C + I + G + (X - M)$). Higher net exports mean more spending on domestically produced goods and services, shifting the aggregate demand curve **to the right**.

A) A fall in income equality means that poor people now have less money, hence their consumption may decrease. This will result in a decrease in Aggregate demand.

B) A fall in incomes abroad reduces foreign consumers' purchasing power, which lowers demand for the country's exports. This decreases net exports, causing a **leftward** shift of the aggregate demand curve rather than a rightward one.

D) A fall in the government budget deficit usually indicates reduced government spending and/or higher taxes. Both measures decrease components of aggregate demand, causing a **leftward** shift in AD, not a rightward one.

18-D)

To convert GDP from market price to factor cost, subtract indirect taxes and add subsidies. The formula is: $\text{GDP at Factor Cost} = \text{GDP at Market Price} - \text{Indirect Taxes} + \text{Subsidies}$

To adjust from market to basic prices, you subtract expenditure taxes and add subsidies. This aligns with national income accounting principles. Hence, key D is correct.

19-C)

Real interest rate $\approx$ Nominal interest rate – Inflation rate. To find the real interest rate, we take the nominal interest rate and subtract the inflation rate

Option C is correct because with a nominal interest rate of 4% and inflation falling from 5% to 3%, the real interest rate rises from -1% to $+1\%$. Savers now gain purchasing power over time, making saving more attractive in real terms.

Option A is incorrect as menu costs will not be zero because there is still inflation.

Option B is incorrect as people on fixed incomes are still worse off if inflation is positive; the main clear beneficiary is savers.

Option D is incorrect as the purchasing power of the currency or its real value will still fall due to positive inflation.

20-C) Macroeconomic policy deals with economy-wide objectives such as economic growth, full employment, balance of payments stability, and controlling inflation. **Maintaining general price stability (keeping the overall inflation rate low and predictable) is a central macroeconomic goal.** This is achieved through monetary policy, fiscal policy, or other tools that affect the whole economy, not just specific sectors. Hence, key C is correct.

A) Encouraging the consumption of merit goods, such as education or healthcare, is a **microeconomic policy**.

B) Reducing pollution in the steel industry focuses on a single industry and involves measures like regulation, taxation, or subsidies for cleaner technology. This is a **microeconomic policy** because it affects a particular market.

D) Reducing unemployment in the service sector targets one segment of the labour market rather than employment across all sectors. It is therefore a **microeconomic policy**, as it focuses on a specific part of the economy, not the aggregate unemployment rate.

21-C)

C) Reducing import barriers can initially increase import expenditure. If imports rise sharply, aggregate demand (AD) may fall because net exports ($X - M$) decline.

However, in the long run, reduced barriers can allow firms to import cheaper raw materials and capital goods, lowering production costs and improving efficiency. This can increase Aggregate Supply and boost real output as domestic industries become more competitive and exports may also rise thereafter.

A) Increased spending on early years education raises government expenditure (G), which directly increases aggregate demand in the short run, boosting real output. In the long run, a better-educated workforce also improves the productive potential of the economy, shifting LRAS to the right. There is no initial fall in output, so it does not match the question's condition.

B) Increased spending on infrastructure also raises G in the short run, increasing AD and raising real output immediately. Over time, improved transport, energy, and communication systems lower business costs and improve efficiency, raising Aggregate Supply. Again, there is no initial reduction in real output.

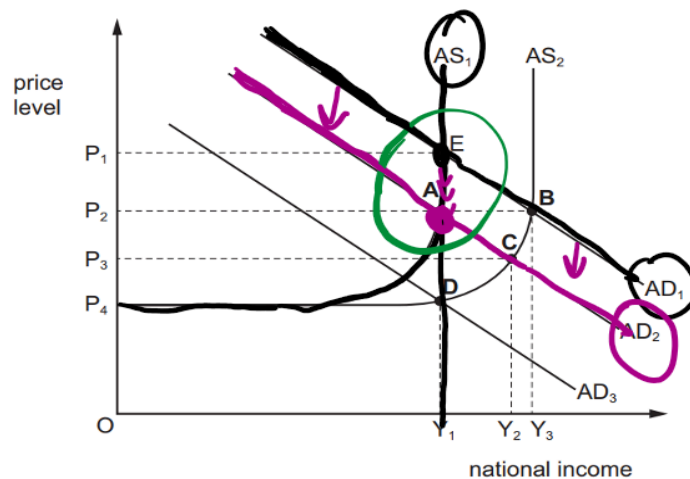
D) Subsidies to exporters reduce their production costs. This increases aggregate supply, shifting SRAS to the right in the short run, raising real output immediately. There is no short-run decline before the long-run gain.

22-A)

Option A is correct because reduced defence spending lowers government expenditure, shifting AD left from AD₁ to AD₂ in the AD–AS diagram. The **new equilibrium will be at "A"**

The government reduces its expenditure on defence.

Which point on the diagram shows the new equilibrium?



23-D:

Option D is correct because **more people entering university leave the labour force**, as these full time students will not seek work now as they are a part of the economically inactive population, reducing both employment and unemployment figures. Hence key D is correct.

Option A) Net inward immigration increases the size of the labour force. If there are not enough additional jobs, this can lead to higher unemployment, making it unlikely that both unemployment and employment would fall simultaneously.

Option B) An increase in unemployment benefits can reduce the incentive for some to accept jobs, potentially increasing voluntary unemployment rather than lowering it.

Option C) Raising the state pension age increases the supply of labour by keeping older workers in employment longer, which means that this can raise employment.

24-A) Depreciation reduces the prices of exported goods and makes imported goods of a country more expensive in the foreign market.

A depreciation makes exports cheaper to foreign buyers, boosting overseas sales. If the firm uses domestic suppliers, its input costs will not rise due to the weaker currency which raises the prices of imported goods. **Therefore, it benefits fully from increased export demand without facing higher costs for imported materials.** Hence, key A is correct.

B) Selling mainly abroad benefits from depreciation, but relying on foreign suppliers means imported inputs become more expensive, offsetting some or all of the gains from higher export sales.

C) Selling mainly in the home market means the firm does not directly benefit from increased foreign demand caused by depreciation, even if its costs from domestic suppliers remain unchanged.

D) Selling mainly in the home market means little export gain, and relying on foreign suppliers raises costs due to more expensive imports after depreciation, creating a net disadvantage.

25-D)

Option D) A move from a current account surplus to a deficit means net exports ($X - M$), which are a part of the current account, have fallen, **reducing aggregate demand**. In the short run, this leads to lower output and less need for labour, causing unemployment to rise. The fall in net exports also weakens domestic production in export-oriented sectors, further increasing job losses.

A) Economic growth is likely to slow, not rise, because a current account deficit reflects reduced demand for domestic goods and services.

B) The exchange rate in a floating system is more likely to **fall/depreciate** when the current account worsens, as lower demand for a country's exports reduces demand for its currency.

C) The interest rate is not directly determined by the current account balance in the short run; it is usually set by the central bank based on monetary policy objectives. A worsening current account does not automatically cause interest rates to rise.

26-C:

Raising interest rates can increase costs of borrowing and also dampen domestic consumption as individuals now borrow less to consume, which means that it also reduces demand for imports and improves the current account. Because this policy works mainly by curbing aggregate demand, it will reduce demand-pull inflation, instead of contributing to inflationary pressures. Hence, C is correct.

A) Decreasing import quotas means reducing the number of goods that can be imported. This is a protectionist tool that is expenditure-switching, which means that it will cause consumers to switch to domestically produced goods from imported goods. This rise in domestic consumption can boost Aggregate demand, leading to inflation.

B) Devaluing the currency can make exports cheaper and imports more expensive, potentially reducing a deficit. But devaluation is a protectionist tool, which means that it can cause consumers to switch their expenditure from imported goods to domestically produced goods. This rise in domestic consumption can boost Aggregate demand, leading to inflation.

D) Decreasing import tariffs makes imports cheaper, encouraging more imports and worsening the current account deficit.

27-D:

$(\text{Index of Export prices} / \text{Index of Import prices}) \times 100$

TOT rises when export prices rise and/or import prices fall.

D – Export prices rise to 110, import prices remain at 100 → $110/100 \times 100 = 110$ → TOT rises exactly by 10% , correct

A – Export prices fall to 95, import prices rise to 105 → $95/105 \times 100 \approx 90.47$ → TOT falls (export prices ↓, import prices ↑), so incorrect

B – Export prices stay at 100, import prices rise to 110 → $100/110 \times 100 \approx 90.91$ → TOT falls (export prices same, import prices rise ↑), so incorrect

C – Export prices rise to 105, import prices fall to 95 → $105/95 \times 100 \approx 110.53$ → TOT rises more than 10%, so not exactly 110 that we required, incorrect

28-B:

Protectionism refers to policies that **restrict imports** to shield domestic industries from foreign competition. Examples include tariffs, quotas, bans, and strict safety/quality standards that make it harder for foreign products to enter.

Option B: Increasing GST on **exports** is not aimed at restricting imports. It does not protect domestic markets from foreign goods, so it is **not protectionism**. On the contrary, it is aimed to discourage exports to prevent domestic shortages. Hence, key B is correct.

Option A: The EU safety standards for imports are a **non-tariff barrier** that can limit imports, so this is protectionism.

Option C: Nigeria's ban on importing packaged sugar is an embargo, which is a **complete import restriction**, a clear form of protectionism.

Option D: The US imposing a 35% tariff on tyres from China increases the price of imports to protect domestic tyre producers, which is protectionism.

29-A:

Current account = Balance of Trade in goods and services (Exports – Imports) + Net income (primary income) + Net transfers (secondary income)

(No secondary incomes given, so we omit that term)

Step 1 – Trade balance: 12 m – 220 m = –208 m

Step 2 – Add net income: –208 m + (–15 m) = –223 m

A – Current account balance = –\$223 million

30-A:

A) Old rate = 6.91 units per USD, New rate = 6.90 units per USD.

Now fewer units of the currency are required to buy 1 USD. This means the currency's value has increased relative to the USD — appreciation.

$(6.90 - 6.91) / 6.91 \times 100 = 0.145\%$ (appreciation)

B) Old rate = 70.4 units per USD, New rate = 74.1 units per USD.

Now more units are required to buy 1 USD. This means the currency's value has fallen relative to the USD — depreciation. (No % change calculation required as it's depreciation)

C) Old rate = 14.4 units per USD, New rate = 16.5 units per USD.

Now more units are required to buy 1 USD. This indicates a fall in currency value — depreciation. (No % change calculation required as it's depreciation)

D) Old rate = 0.99 units per USD, New rate = 0.94 units per USD.

Now fewer units are required to buy 1 USD. This means the currency's value has increased relative to the USD — appreciation.

$(0.94 - 0.99) / 0.99 \times 100 = 5.05\%$

